

can buy bonds, and enjoy the income they yield. You could purchase real estate, which gives you a place to live, or to rent out for income. You could also use that money to start or build a business.

Whether it's a few decades or a century, the math works the same.

Let's consider a real-life scenario for that dollar which *supposedly* has lost 96% of its purchasing power. Imagine two young men, each with \$1,000 cash, getting ready to go off to war. The US declared war against Germany in April 1917, thus entering World War One. In 1917, \$1,000 was a fortune, and our two soldiers each took very different approaches to dealing with their cash.

One decides to bury the cash in mason jars in the backyard, while the other buys a broad set of stocks in the market (held in a trust just in case). Their descendants take possession of these in July 2023.^{[159](#)}

If your ancestor was the soldier who put that \$1,000 into equities over that same period, well congratulations. Since then, markets have returned about 10.23% a year, and that small fortune has grown to an enormous one, now worth over \$30 million.^{[160](#)}

Returns over a century are exponential, and therefore very counterintuitive. We have a hard time wrapping our heads around \$1,000 growing that large. An easy way to understand how this works is to use the Rule of 72. This is a useful formula that calculates how long it takes for invested money to double. Simply divide 72 by 10.23% (the annual rate of return) and we find your investment will double every 7.03 years.

Here is what that looks like since 1917, doubling 15 times: